of life.

The Great Depression (from 1929 until the start of World War II) made a lasting impact on millions of people who lost a lifetime of earnings in repossessed farms and mortgages. It also left a lasting impact on lenders, who found themselves in the position of having to repossess homes and farms that were virtually worthless to them. The Depression forced Americans to conserve again. Bankers began to make loans only with adequate collateral, and borrowers were extremely cautious because they realized the risks.

But after the Second World War, the government found itself with several million ex-GIs who needed homes, jobs, and educations. With the aftermath of the Great Depression still fresh in their minds, commercial lenders, such as banks, and savings and loans, were reluctant to extend credit to so many men who had virtually no credit history. So, as a last resort, the government became the lender. Congress passed laws allowing the federal government to guarantee loans made to ex-servicemen, and the GI Bill was born. This law allowed commercial lenders to extend credit for education and housing to millions of wartime veterans, and it provided government guarantees to back those loans.

The impact on the economy was immediate and spectacular. Millions of Americans went to college, and millions more borrowed money to build homes and start businesses. The great credit boom of the twentieth century was off and running. Never before in history had our government used tax-generated dollars to support private lending, but the American people supported the idea wholeheartedly and a new idea was born: consumer credit. Soon the government programs were expanded to provide government backed loans to nonveterans through the Federal Housing Administration, the Federal Farm Loan Administration, the Small Business Administration, and so on.

With the stimulus of credit feeding the education, housing, and business sectors, prices went up—the natural outgrowth of the law of supply and demand. Credit allowed more people to compete for the available products and services, which in turn allowed prices to